

THE WALL STREET JOURNAL.

DOW JONES | News Corp ***** MONDAY, JANUARY 5, 2026 ~ VOL. CCLXXXVII NO. 3 WSJ.com ★★★★★ \$5.00

Last week: DJIA 48382.39 ▼ 328.58 0.67% NASDAQ 23235.63 ▼ 1.5% STOXX 600 596.14 ▲ 1.3% 10-YR. TREASURY ▼ 14/32, yield 4.188% OIL \$57.32 ▲ \$0.58 EURO \$1.1721 YEN 156.83

What's News

Business & Finance

- ◆ **Wall Street is betting** that falling interest rates and strong corporate earnings will be enough to eke out one more year of stock-market gains, though it is likely to be a near-run thing in part because of a cloudier economic picture. **A1**
- ◆ **Philadelphia Fed** President Anna Paulson said the central bank may be able to cut interest rates further if inflation cools, but suggested that any additional reductions might not be coming right away. **A3**
- ◆ **Private equity's** long-awaited consolidation is unlikely to arrive this year, many people who work in the industry say, with the structural challenge of combining buyout shops among the hindrances. **B1**
- ◆ **"Avatar: Fire and Ash"** and **"Zootopia 2"** retained their positions as leader and runner-up at the weekend domestic film box office, though their dollar receipts declined from a week earlier. **B2**
- ◆ **Sam Altman's** desire to furnish OpenAI with an app store to rival Apple's is running up against the capability of traditional apps, which can't be replaced quickly. **B1**
- ◆ **Vera Bradley, the** maker of quilted bags and accessories, is changing strategy again following a rebrand that left some of its loyal consumers fuming. **B3**
- ◆ **The maker of Biscoff** cookies is aggressively pursuing production and distribution growth, continuing to exploit its early success in branding a generic product. **B3**

Worldwide

- ◆ **Trump said after the** capture and arrest of Venezuelan President Nicolás Maduro that the U.S. would run the country indefinitely until a "safe, proper and judicious transition" could be arranged and didn't raise the prospect of elections there. **A1, A4, A6**
- ◆ **Trump's threat to** intervene in Iran's protests carries new urgency for Tehran now that the toppling of Maduro has raised uncertainty about how far the president is willing to go. **A8**
- ◆ **The first trial in the** Mississippi welfare scandal is set to begin this week, nearly six years after it erupted in one of America's poorest states. **A3**
- ◆ **North Korea launched** ballistic missiles toward its eastern waters, the country's neighbors said, hours before South Korea's president left for China for talks expected to cover Pyongyang's nuclear program. **A8**
- ◆ **Heavy rain and high** tides believed to be the most severe in two decades caused flooding in parts of Northern California, prompting road closures and rescues of people trapped in cars. **A2**
- ◆ **A private helicopter** crashed in Arizona near Telegraph Canyon, about 64 miles east of Phoenix, killing all four people aboard, officials said. **A2**
- ◆ **A boat capsized in** northern Nigeria's Yobe state, leaving at least 25 people dead while 14 others remained missing, emergency services said. **A8**

JOURNAL REPORT
Investing Monthly:
Why annuities make
sense for your 401(k).
B5-B6

CONTENTS	Markets..... B10
Arts in Review..... A12	Opinion..... A13-15
Business & Finance B2-3	Personal Journal A10-11
Crossword..... A11	Sports..... A16
Equities..... B9	Technology..... B4
Heard on Street..... B12	U.S. News..... A2-3
Market Data..... B8	World News..... A4-8



© 2026 Dow Jones & Company, Inc.
All Rights Reserved

U.S. Raid Leaves Venezuela in Confusion



Armed men on motorcycles, supporters of Nicolás Maduro, drove through Caracas a day after Maduro's capture by the U.S.

After Maduro ouster, Trump keeps regime in place while issuing threats to successor

By DAVID LUHNOW
AND JOSÉ DE CÓRDOBA

President Trump ticked off a list of reasons for his decision to capture and arrest Venezuelan President Nicolás Maduro. He talked about the Maduro regime sending illicit drugs and gangs to the U.S. and nationalizing American oil-company assets.

One thing that wasn't mentioned: a desire to restore democracy in Venezuela. Instead, Trump said after Saturday's raid, the U.S. would run the country indefinitely until a "safe, proper and judicious transition" could be arranged. He didn't raise the prospect of elections.

The president said "it would be tough" for the country's opposition leader, María Corina Machado, who won the Nobel Peace Prize last year, to play a major role, saying she lacked popularity. Instead, he expressed a willingness to work with Delcy Rodríguez, Maduro's vice president, a hard-line socialist and regime stalwart.

On Sunday, Secretary of State Marco Rubio played down expectations of a quick

Please turn to page A4

Energy Companies To Face a Challenge Mining Nation's Oil

For months, the U.S. sold its pressure campaign against Venezuela as a way to curtail drug trafficking. Now, it's about getting American energy companies access to one of the world's largest oil bounties.

By Collin Eaton,
Kejal Vyas
and David Uberti

The Trump administration's move to oust Venezuelan strongman Nicolás Maduro in a surprise military operation early Saturday will pave the way for U.S. oil companies to

regain a foothold in the South American nation, President Trump said at a Mar-a-Lago press conference.

But getting foreign companies to flock back to Venezuela will be a massive challenge. Chevron is the only major U.S. oil company there and is the nation's largest foreign investor. Other oil executives will be forced to gauge the stability on the ground in a country where the industry has fallen into disarray after more than two decades of mismanagement and corruption.

Please turn to page A5

Foreign Conflict Intrudes On Political Landscape

By SABRINA SIDDIQUI
AND PAUL KIERNAN

Dillon Mockli voted for President Trump in 2024 in hopes of ending wars, reining in government spending and bringing down inflation. Upon hearing the president say the U.S. would run Venezuela after American forces captured President Nicolás Maduro, the 38-year-old sarcastically said: "Charming. Just what I voted for."

Instead of spending more money overseas, Mockli said he would prefer to see Trump focused on prices in the U.S. He said the pandemic lockdowns and subsequent inflation surge wreaked havoc on

Next Steps

- ◆ **Maduro set for trial in federal court.....** A6
- ◆ **Trump leans on new leader, a hardline socialist.....** A6
- ◆ **Migrants cheer, but remain unsure.....** A6

his finances.

"I make the most money I ever made in my life, and I feel the brokest I've ever been," said Mockli, who owns a food-truck business in rural Idaho and routinely sees customers' credit cards declined. He characterized Trump's first year in office as "a gigantic disappointment to a monumental

degree." He expects to either vote Libertarian or to abstain from voting in the midterm elections.

Trump's Venezuela incursion has injected a volatile foreign conflict into a political environment defined by voter anxiety over high prices and a softening job market. Whether Trump can juggle a high-stakes intervention abroad while persuading voters that he is making progress on the economy is poised to determine the political outcome in November, according to interviews with over a dozen strategists, pollsters and voters.

"If things go poorly, this

Please turn to page A4

ICE Agents Tap Facial Recognition Technology On Phones

Until recently, arresting an immigrant suspected of being in the country illegally took time. Immigration agents needed to run the suspect's various forms of ID through different systems, and if the results were inconclusive, book the person into custody for further investigation.

By Michelle Hackman,
Arian Campo-Flores
and Hannah Critchfield

But during President Trump's second term, U.S. Immigration and Customs Enforcement officers have been handed a powerful new tool to speed up arrests: mobile facial recognition technology. Officers can simply point their phones at a suspect's face, snap a picture and turn up the person's identity—and often their immigration status.

The app, called Mobile Fortify, has in the past few months become a routine feature of ICE arrests, according to current and former government officials.

Agency officials say the technology has made arrests both faster and more accurate, leading to fewer occasions when officers must detain someone only to learn, hours

Please turn to page A2



PERSONAL JOURNAL
Trying a digital detox in the new year may be good for your health. **A11**



BUSINESS & FINANCE
Sales growth at pizza restaurants is cooling as Americans' appetite shifts. **B1**

The Hottest Ticket in China Is a Tour of a Factory Floor

Parents, car aficionados and other industrial tourists fight for limited spots

By HANNAH MIAO

BEIJING—When Yang Xingyue heard that tech company Xiaomi was offering free tours of its electric-vehicle plant, she dropped everything and applied for tickets.

The odds weren't good. After Xiaomi launched an online lottery last January for public access to its highly automated facility on the outskirts of Beijing, locals and tourists rushed to enter. Word spread on social media. Influencers looking for a perfect photo op

competed against tiger moms hoping that a glimpse of the robot-powered assembly lines might inspire their kids to pursue tech careers.

More than 100,000 people entered the lottery for about 200 tours in December and January, making the EV plant harder to get into than some competitive colleges.

Yang, a car aficionado, wanted to give her 2-year-old son a close-up look at the factory. To her amazement, she was selected for a tour last

Please turn to page A9

Wall Street Expects Rally to Keep Going

By KRYSTAL HUR

Wall Street is betting that falling interest rates and strong corporate earnings will be enough to eke out yet one more year of stock-market gains. It is going to be close.

After posting double-digit percentage increases for three straight years, from 2023 through 2025, the S&P 500 and other major U.S. indexes enter year four of their rally with stretched valuations on many big stocks and a cloudier economic picture. There are enough positives to give investors and analysts hope, but some worry there isn't enough to keep up the pace of 2025.

"We probably have an OK market, but certainly not what we've seen in the last couple years," said Mark Hackett, chief market strategist at Nation-

wide.

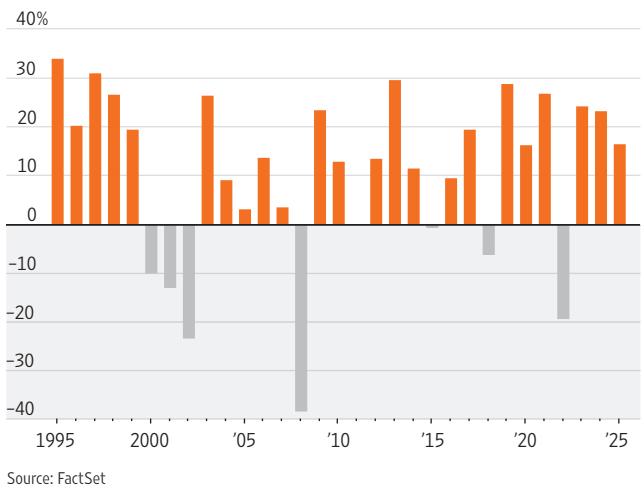
The S&P 500 surged 16% last year, with a resilient economy, renewed interest-rate cuts and artificial-intelligence fervor propelling the benchmark index to 39 records. The Dow Jones Industrial Average gained 13%, while the Nasdaq composite jumped 20%.

Wall Street analysts and strategists have predicted the party will continue in 2026. Bank of America expects the S&P 500 to reach 7100 by the end of this year, a 3.7% gain from the 2025 closing level. JPMorgan Chase and Goldman Sachs expect the benchmark index to reach 7500 and 7600, respectively.

Their bullishness, in light of the past gains, is reason enough to be cautious, some investors said. The S&P 500

Please turn to page A2

S&P 500 performance each year



Source: FactSet